

SpiceJet: Bridging the Service Gap – A Comprehensive Service Operations Analysis

Service Expected vs. Service Provided

SERVQUAL Gap-5 analysis: comparing what passengers expect against what SpiceJet delivers

THE FRAMEWORK

SERVQUAL — The RATER Model

Parasuraman, Zeithaml & Berry's model defines the Customer Satisfaction Gap as:

Gap 5 = f (Gap 1, Gap 2, Gap 3, Gap 4)

Each RATER dimension is judged through an aviation-specific yardstick — shown in the table →

- R Reliability → On-Time Performance
- A Assurance → Refund & Comp. Trust
- T Tangibles → Cabin & Aircraft Comfort
- E Empathy → Passenger Care in Disruption
- R Responsiveness → Crisis Communication

Root cause: driven by Gap 2 (resource constraints) & Gap 3 (inconsistent delivery), not a flawed concept.

DIMENSION	CUSTOMERS EXPECT	SPICEJET DELIVERS — 2026 EVIDENCE	GAP
OT On-Time Performance SERVQUAL: Reliability	Flights depart and arrive on schedule; commitments to customers are kept.	Recurring multi-hour delays/cancellations at Delhi, Mumbai, Bengaluru; refund confirmations later silently reclassified as “rescheduled.”	SEVERE
CC Crisis Communication SERVQUAL: Responsiveness	Prompt help and clear updates the moment something goes wrong.	Phone-support waits exceeding 3 hours; passengers report no ground staff or status updates during disruptions.	SEVERE
RT Refund & Company Trust SERVQUAL: Assurance	Confidence that DGCA-mandated compensation and refund rules will be honoured.	Compensation disputes force passengers to DGCA's grievance portal and legal escalation.	HIGH
PC Passenger Care in Disruption SERVQUAL: Empathy	Basic care — food, water, information — during long waits.	DGCA-mandated meal/water provisions reportedly unmet for passengers stranded overnight.	HIGH
CA Cabin & Aircraft Comfort SERVQUAL: Tangibles	A comfortable, functioning cabin environment.	In-cabin AC/ventilation failures reported in flight (e.g., Delhi–Pune, Aug 2026); cabin heat likened to a “gas chamber” by passengers.	MODERATE

DIAGNOSIS: The gap is not one of concept but of consistency — SpiceJet's promise (affordable, accessible air travel) is sound, but financial and staffing constraints are eroding delivery on every RATER dimension, converting cost leadership into a trust deficit.

Service Strategy

Positioning SpiceJet within India's low-cost carrier landscape, 2026

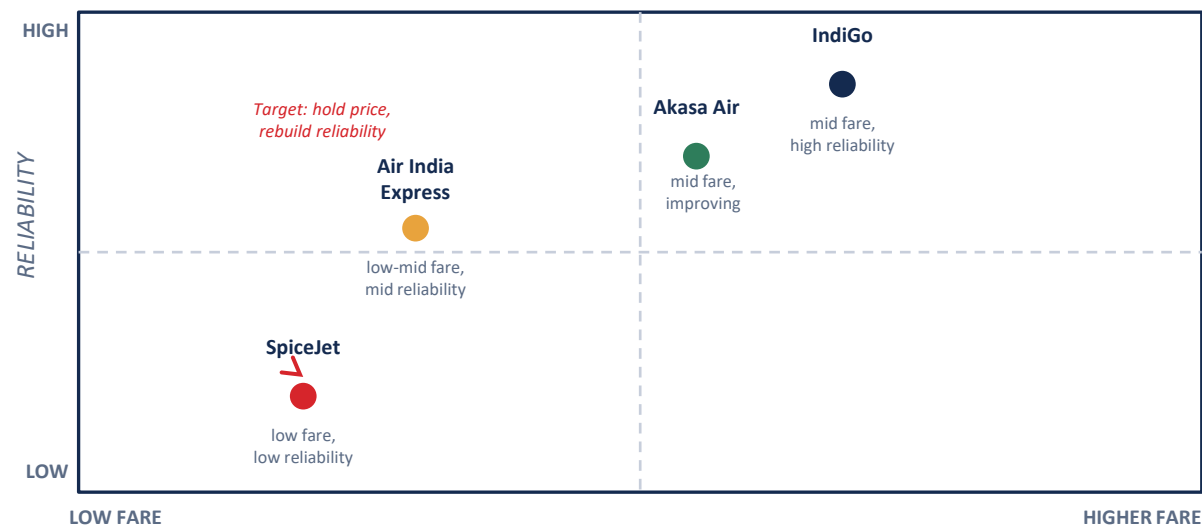
OPERATIONS PRIORITIES — CURRENT STATE

A price-led, capacity-recovery strategy

- 1 Price leadership**
Fare stays the core lever vs. IndiGo/Air India for price-sensitive Tier-2/3 travellers.
- 2 Capacity & availability**
Fleet: ~26 → 60 aircraft by Dec 2026; ASKM 55cr→105cr in Q3, targeting 220–225cr by Winter.
- 3 Network reach**
300+ daily flights targeted by Winter 2026, rebuilding routes vacated in the grounding years.
- 4 Financial runway**
₹3,000cr QIP + ₹294cr promoter infusion fund recovery, against a ₹621cr Q2 FY26 net loss.

STRATEGIC POSITIONING MAP

Price vs. Operational Reliability



WHAT SPICEJET MUST DO TO RECOVER — because growth is currently outpacing reliability, recovery needs three parallel workstreams:

0–6 MONTHS

Stabilize Delivery

- Cap new-route/departure growth to what current crew and ground-staff headcount can service reliably — don't outrun OTP.
- Mandate an IRROPS protocol: on-site staff and proactive SMS/app updates within 30 minutes of any delay over 60 minutes.

6–18 MONTHS

Rebuild Trust

- Automate DGCA-compliant refund/compensation workflows to remove manual errors like the reported “rescheduled” relabeling.
- Publish a public on-time-performance & cancellation dashboard to rebuild transparency and brand credibility.

18+ MONTHS

Scale Sustainably

- Gate the 26→60-aircraft induction plan on maintenance & staffing capacity, to avoid repeat tech-delay failures.
- Ring-fence part of the QIP/promoter capital for reliability capex (spares, ground crew) alongside growth capex.

Perceived User Value (PUV)

Benchmarked against Akasa Air — SpiceJet's closest scale peer, not the market leader

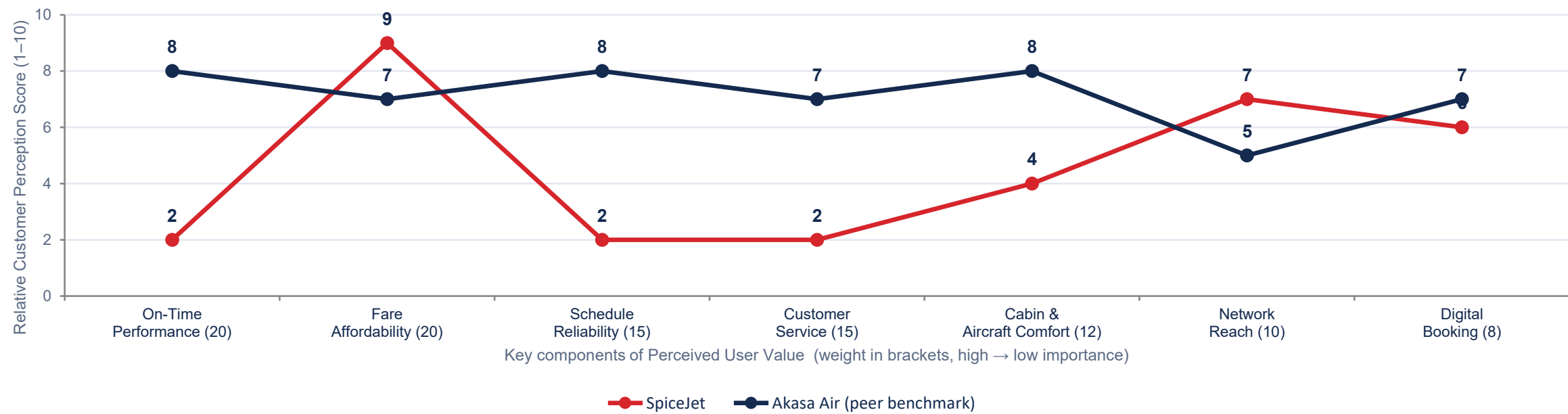
MARKET SCALE 4–5.5% Both hold single-digit domestic share — IndiGo (66%) and Air India Group (26%) are a different order of magnitude.

FLEET SIZE ~26–30 aircraft Comparable narrow-body fleets; both standalone LCCs without a legacy full-service parent.

WHY NOT INDIGO Scale mismatch IndiGo's cost base and network density make it an unrealistic like-for-like benchmark here.

PUV LINE PROFILE — SPICEJET VS. AKASA AIR

Attributes ordered high → low importance weight (from published Indian-airline passenger-satisfaction research); scored 1–10 on current evidence



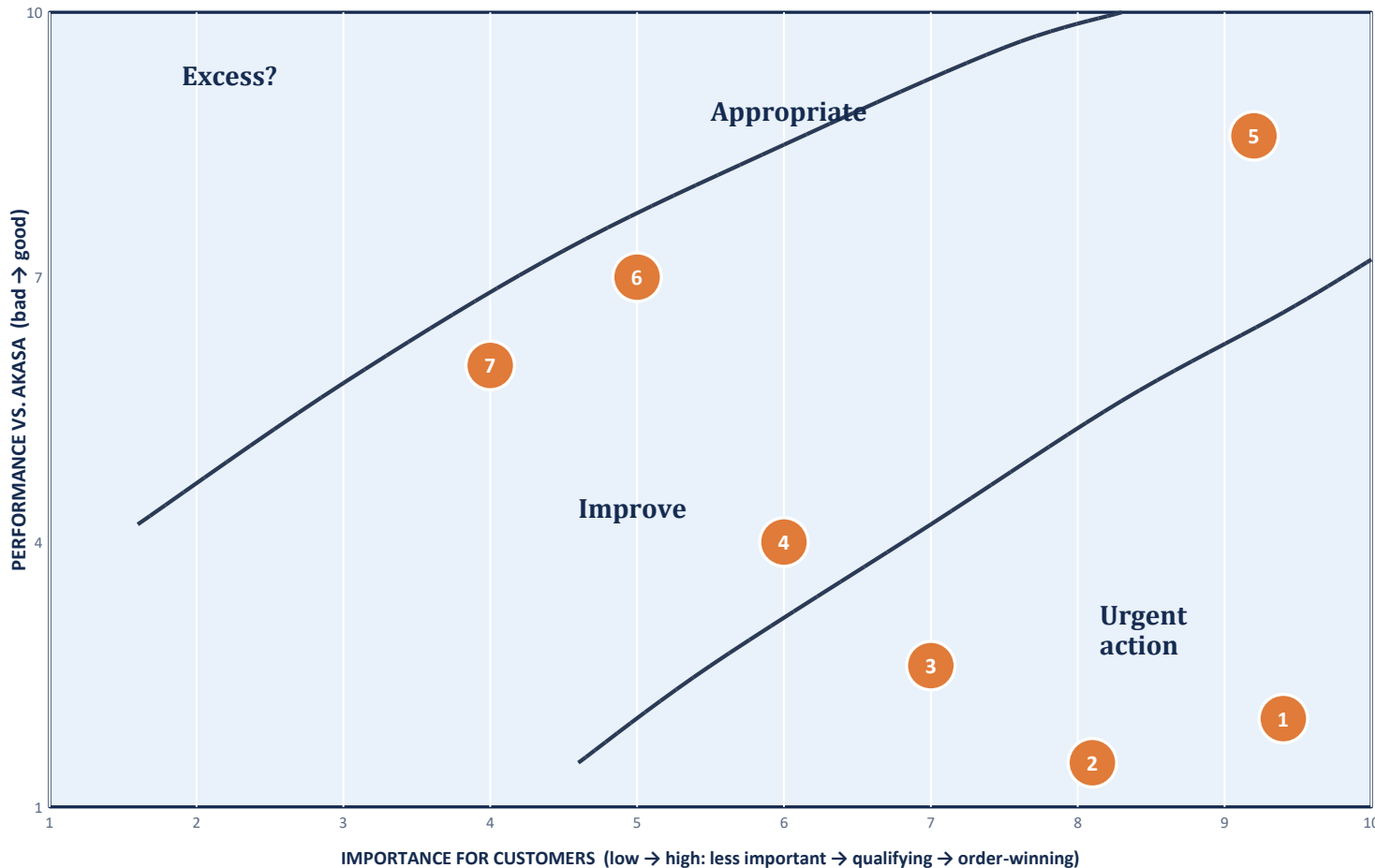
SpiceJet PUV **4.46/10**

Akasa PUV **7.27/10**

SpiceJet leads only on fare and network reach — its two hardest-to-defend advantages. Akasa's edge on reliability, service and comfort delivers a 63% higher weighted PUV score.

Where SpiceJet Must Act First

Importance–Performance analysis of 7 value attributes vs. Akasa Air, using Slack's order-winning / qualifying framework



15-SECOND READ

#1–3

Urgent action (3)

On-time performance, schedule reliability, customer service & crisis support — the attributes passengers weight most, and where SpiceJet trails Akasa by the widest margin.

#4

Improve (1)

Cabin & aircraft comfort — a real but secondary weakness sitting behind the delivery-consistency issues above.

#5

Appropriate (1)

Fare affordability — the one attribute where high importance is matched by strong relative performance. Protect this.

#6–7

Excess? (2)

Network reach and digital booking — solid performance on attributes that matter comparatively less than reliability. Worth asking if effort here could shift toward the urgent cluster.

STRATEGIC READ: SpiceJet's effort is misallocated, not merely insufficient — solid on breadth (network) and app experience (digital), thin on the reliability fundamentals passengers weight most. Slide 02's "Stabilize Delivery" actions should be funded first, potentially by trimming the Excess? zone.

Service Blueprint: The Passenger Journey

Booking → Check-in → Airport → Boarding → Flight → Baggage → Arrival → Post-service

THE FRAMEWORK

Service Blueprint

Maps Customer Actions, Frontstage, Backstage and Support Systems against a Line of Interaction and a Line of Visibility . Failure points surface where these lines are crossed without a defined handoff.

FLIGHT SG-105 (DELHI TO PUNE, 11 AUG 2026) MAPPED TO THE BLUEPRINT

FLOW	CUSTOMER ACTIONS	FRONTSTAGE (visible)	LINE OF VISIBILITY	BACKSTAGE (hidden)	SUPPORT SYSTEMS
1	Books ticket	Web check-in opens	—	Fare/seat inventory locked	spicejet.com app
2	Boards at gate	Cabin crew boarding	—	Technical team: cabin AC not checked F	Dispatch checklist
3	Waits on tarmac W	Crew gives no real-time update F	—	Ground ops locates replacement a/c	Announcement / text alert (none sent)
4	Deplanes, protests	Crew described as dismissive	—	New aircraft assigned	—
5	Flies on replacement	—	—	—	—

↓ = sequence of the journey W = waiting point F = failure point (a line is crossed with no defined handoff)

SPICEJET PRACTICE

Standard low-cost-carrier (LCC) digital journey: web/app booking, web check-in, airport counter/kiosk, boarding, in-flight, baggage claim, post-flight support portal.

EVIDENCE

SG-105 (11 Aug 2026): passengers boarded, cabin AC failed, ~2-hr on-tarmac wait with no explanation, replacement aircraft eventually arranged; SpiceJet issued a regret statement.

GAP

The blueprint breaks at the Line of Internal Interaction between backstage technical dispatch and frontstage cabin crew — readiness isn't verified before boarding, and crew have no disruption script.

RECOMMENDATION

Add a formal pre-boarding technical-readiness gate to the blueprint, and issue frontstage crew a scripted real-time communication protocol.

DIAGNOSIS: Digital front-end (booking/check-in) is functional; the failure is concentrated at the physical boarding/backstage handoff — a process-design gap, not a technology gap.

Layout & Servicescape

Cabin environment vs. airport environment — who actually controls the passenger's physical experience?

THE FRAMEWORK

Servicescape

The physical environment — ambience, temperature, signage, crowding — gives customers tangible cues about an intangible service. Perceived control and orientation reduce anxiety; poor servicescape design increases it.

WHO CONTROLS THE SERVICESCAPE?

SPICEJET-CONTROLLED

Cabin AC / thermal comfort — recurring evidenced failure

Cabin crew presentation & conduct

In-flight ambience, seating, cleanliness

Ground-crew ramp behaviour at boarding

AIRPORT-CONTROLLED (e.g. Delhi International Airport Ltd., DIAL)

Terminal layout, signage, security queues, gate crowding.

Publicly available evidence is insufficient to verify SpiceJet-specific practices for these elements — they are managed by the airport operator, not the airline.

SPICEJET PRACTICE

Cabin thermal environment before/at boarding is a SpiceJet-controlled servicescape element (the aircraft’s own ground air conditioning / Auxiliary Power Unit, or APU), distinct from terminal-level infrastructure.

EVIDENCE

Delhi–Pune SG-105 (11 Aug 2026): AC failure, cabin likened to a “gas chamber,” 100 passengers affected. Delhi–Darbhanga SG-476 (19 Jun 2024): passengers waited >1 hr without AC in a heatwave; SpiceJet called it “slight inefficiency.”

GAP

The same servicescape failure recurs across two years (2024, 2026) — evidence of a systemic ground-air-conditioning reliability gap on the older/grounded fleet, not an isolated incident.

RECOMMENDATION

Mandate cabin-temperature verification as a dispatch checklist item whenever ambient temperature exceeds 35°C before boarding begins, and publish this as a visible passenger commitment.

DIAGNOSIS: Do not assume airport-controlled servicescape failings are SpiceJet's fault — but the evidenced failures sit squarely inside the airline's own controllable zone.

Service Quality — The Regulator's Evidence

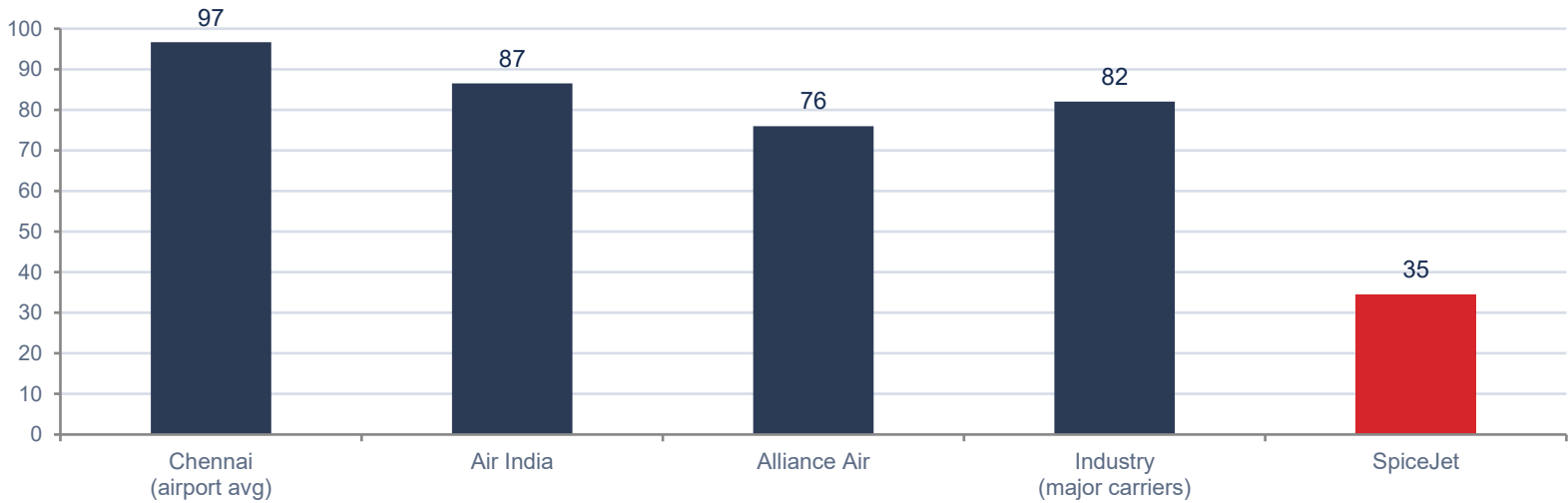
July 2026 data from India's Directorate General of Civil Aviation (DGCA) deepens Slide 01's SERVQUAL diagnosis with independently verified figures

THE FRAMEWORK

SERVQUAL Deepened

Gap 5 = f(Gap 1, Gap 2, Gap 3, Gap 4). Slide 01 diagnosed a Gap 2/3 problem from company-level evidence. DGCA's July 2026 regulatory dataset independently confirms the same Reliability and Responsiveness gaps at the industry-comparison level.

ON-TIME PERFORMANCE, JULY 2026 (DGCA, 10 MAJOR AIRPORTS)



SPICEJET PRACTICE

SpiceJet publishes standard SERVQUAL-relevant commitments (on-time schedules, refund rules, DGCA-mandated passenger care) but regulator data shows the widest execution gap of any major carrier.

EVIDENCE

DGCA July 2026: SpiceJet's on-time performance (OTP) of 34.5–34.6% (lowest of majors, vs Air India 86.5%, Alliance Air 76%); 28.37% of SpiceJet flights delayed >2 hrs — the highest share among all carriers reported that month.

GAP

Reliability and Responsiveness — the two highest-weighted PUV attributes (Slide 03) — show the widest, most recent, regulator-sourced gap. This is a Gap 3 (delivery/conformance) failure, not merely a Gap 1 (perception) issue.

RECOMMENDATION

Prioritise on-time performance (OTP) recovery over fleet-growth headlines in the 0–6 month window (reinforces Slide 02's "Stabilize Delivery" workstream), since Gap 3 compounds directly into the low PUV score in Slide 03.

DIAGNOSIS: This is no longer a company-reported diagnosis alone — an independent government regulator's dataset confirms SpiceJet's Reliability gap is the most severe among major Indian carriers.

Location Strategy: Hub, Fleet-Mix & Route Tier

Is SpiceJet's network strategy still supporting its low-cost, regional-reach positioning?

THE FRAMEWORK

Service Location Strategy

Facility (route/network) location trades off proximity, accessibility and market reach. For an airline, this plays out as hub concentration vs. point-to-point Tier-2/3 reach, and fleet-type matching to route density.

FLEET-TO-ROUTE-TIER MATCHING (DECLARED STRATEGY)

Delhi (DEL)

Primary hub — largest base of aircraft & crew

737 family

Metro trunk routes (Mumbai, Kolkata, Hyderabad, etc.)

Q400 turboprop

Tier-2/3 routes under UDAN (Ude Desh ka Aam Nagrik, the government’s regional connectivity scheme), e.g. Shivamogga–Chennai/Hyderabad

UDAN role

Leading UDAN-2 (2018-19) operator; still active in the Regional Connectivity Scheme (RCS) in 2026

SPICEJET PRACTICE

Dual-fleet location strategy: 737s on Tier-1 metro trunk routes, Q400 turboprops on Tier-2/3 routes under the UDAN regional connectivity scheme — e.g. Shivamogga–Chennai/Hyderabad launched Oct 2024, tied explicitly to expansion after the airline's Rs 3,000 crore Qualified Institutional Placement (QIP), a share-sale route for raising capital, in Sept 2024.

EVIDENCE

SpiceJet was a leading UDAN-2 operator (2018-19) and remains listed as an active UDAN carrier under the Ministry of Civil Aviation's Modified UDAN regional connectivity scheme (approved 25 Mar 2026).

GAP

The fleet contraction documented in Slides 10–11 has forced SpiceJet to “reduce frequencies and suspend a number of routes.” Which specific Tier-2/3 routes were suspended in 2026 is not identified in publicly available sources reviewed here.

RECOMMENDATION

Given capacity is the binding constraint, protect Q400 / UDAN (regional connectivity scheme) routes (lower capital intensity, government Viability Gap Funding) ahead of metro trunk frequency when allocating the scarce active fleet — preserving “network reach,” the one order-winner Slide 04 confirms SpiceJet still holds.

DIAGNOSIS: The location strategy itself (hub + Tier-2/3 turboprop reach) is sound; execution is now capacity-constrained rather than strategy-constrained — the gap has shifted from Slide 02 upstream to here.

Queues & the Psychology of Waiting

THE FRAMEWORK

Psychology of Waiting

Unoccupied waits feel longer; uncertain waits feel longer than known waits; unexplained waits feel longer than explained waits. Perceived wait, not actual wait, drives satisfaction.



SPICEJET PRACTICE

SpiceJet operates standard queue touchpoints — check-in, security, boarding, phone/app support — and holds a DGCA-mandated 24-hr cancellation and refund-rights window.

EVIDENCE

SG-105 (11 Aug 2026): ~2-hr on-tarmac hold, no real-time update, escalating to protest. Review platforms (PissedConsumer: 1.4/5 avg, 474 ratings, Mar 2026; Reviews.io, 2026) repeatedly cite “no prior delay message.”

GAP

Per Maister's 2nd Law (“hard to recover once the wait already feels bad”), the on-aircraft hold during SG-105 combined all four worst-case wait conditions from the course framework: unoccupied, uncertain, unexplained, and — per passenger accounts — unfair.

RECOMMENDATION

Operationalise Slide 02's Irregular Operations (IRROPS) mandate at the micro level: a fixed 15-minute proactive public-address and text-message update cadence during any on-ground technical hold, regardless of whether the root cause is yet known.

DIAGNOSIS: Note: a widely repeated claim of “3-hour+ phone-support waits” could not be independently re-verified from a dated 2026 source beyond the original deck's own citation — flagged here for verification rather than restated as new fact.

Service Failure & Recovery: The LEARN Test

Scoring SpiceJet's real response to SG-105 against the course's own LEARN model

THE FRAMEWORK

LEARN Model

Listen → Empathize → Apologise → Recover → Notify .Golden rules: train employees, empower frontline workers, anticipate recovery needs, act fast. A good recovery can turn a dissatisfied customer into an advocate.

LEARN SCORECARD — SG-105, 11 AUG 2026

LISTEN	FAIL	Crew described by passengers as dismissive during the on-board protest (ETV Bharat).
EMPATHIZE	FAIL	No acknowledgement of distress reported by passengers (elderly, children, pregnant women on board).
APOLOGISE	PASS	SpiceJet: “expresses its deep regret for the inconvenience caused.”
RECOVER	PASS	Replacement aircraft arranged; flight completed to Pune.
NOTIFY	FAIL	Official explanation cited “technical glitch” / weather — disputed by passengers as inconsistent with what they experienced.

SPICEJET PRACTICE

When failures occur, SpiceJet arranges rebooking/replacement aircraft and issues a public apology statement — the operational half of recovery.

EVIDENCE

SG-105: replacement aircraft + “deep regret” statement (Recover + Apologise, confirmed). Same pattern in the 2024 Darbhanga AC case: SpiceJet's public line (“slight inefficiency”) again minimised rather than validated the experience.

GAP

3 of 5 LEARN steps fail at the frontstage/communication layer (Listen, Empathize, credible Notify) — recovery is mechanically present but emotionally and communicatively incomplete, in both 2024 and 2026 incidents.

RECOMMENDATION

Train frontline crew explicitly on Listen/Empathize before Notify — the Notify step loses all credibility when it contradicts documented passenger experience, as happened twice.

DIAGNOSIS: SpiceJet has a recovery mechanism, not a recovery culture — the LEARN model's operational steps are applied more consistently than its human/communication steps.

Demand, Capacity & Yield: A Strategy That Isn't Chosen

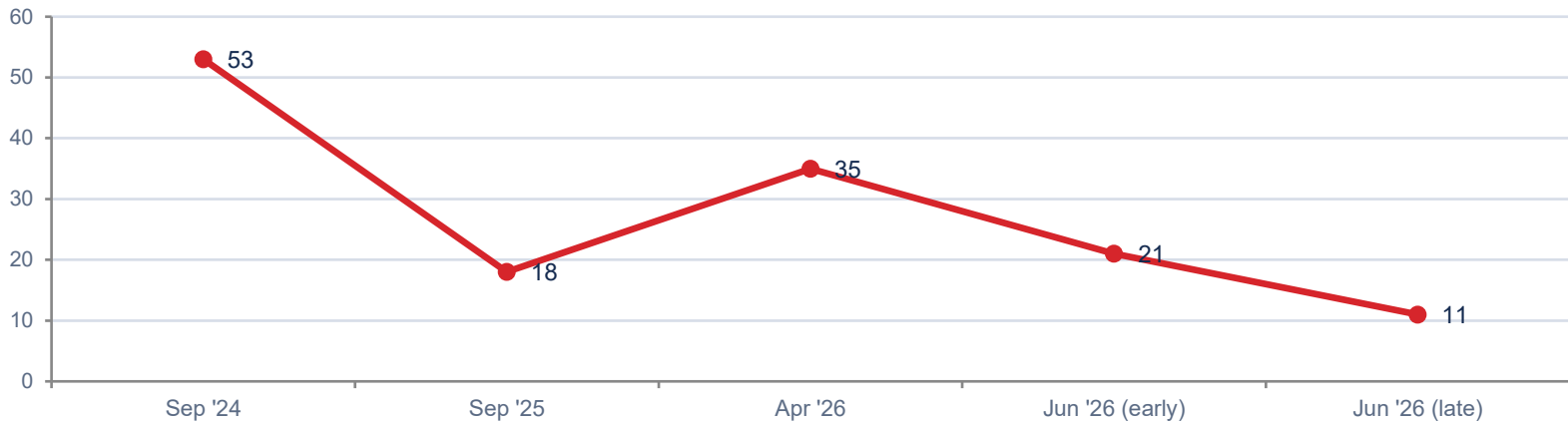
Fleet volatility shows capacity being dictated by finance and maintenance, not by a deliberate Chase or Level strategy

THE FRAMEWORK

Chase vs. Level vs. Yield

Chase Demand flexes capacity to match demand; Level Capacity holds capacity fixed and manages demand instead. Yield management sells the right capacity to the right customer at the right price and time — valid only when capacity is fixed/limited and perishable.

IN-SERVICE FLEET COUNT — A FORCED, NOT CHOSEN, SWING



Passenger Load Factor (PLF, the % of available seats actually filled) stayed strong through the turmoil: 84.3% (Jul–Sep 2025 quarter) and 84.1% (Jul 2026) — 2nd-highest of majors, behind only Akasa's 91.9%.

SPICEJET PRACTICE

Passenger Revenue per Available Seat Kilometre (PRASK, a standard airline yield measure) improved (₹4.04 vs ₹3.91 year-on-year) and the Passenger Load Factor (PLF) held above 84% even as the fleet shrank — evidence that fare/yield discipline operates on the capacity that IS flying.

EVIDENCE

Fleet swung from ~53–55 aircraft (Sep 2024) to 18 active (Sep 2025) to 21 (Jun 2026, Reuters) to 11 in-service (late Jun 2026, Travel Radar) — forced by lease repossessions and maintenance backlogs, not planned. Scheduled flights fell from 4,494 (Jan 2026) to 3,053 (May 2026), –32% (flight-schedule data from aviation analytics firm OAG, via Aviation Today).

GAP

Neither classic strategy applies cleanly: SpiceJet cannot “chase” demand (no spare aircraft to flex up) nor hold a stable “level” base (its own base keeps shrinking involuntarily).

RECOMMENDATION

Until fleet stability returns, run a formal “constrained-capacity” playbook: publish capacity 4–6 weeks ahead to cut late cancellations, and protect the routes with the highest revenue per seat-kilometre (PRASK) rather than spreading a shrinking fleet thin — the likely driver of the on-time performance (OTP) collapse in Slide 07.

DIAGNOSIS: Yield management is being practised on whatever capacity survives; demand-capacity strategy itself is not a choice SpiceJet is currently free to make.

Inventory Management: Spares, Maintenance & Capacity

A plausible, independently-reported causal chain — not yet confirmed in SpiceJet's own disclosures

THE FRAMEWORK

Service Inventory

In services, “inventory” is often the availability of consumables, spares and maintenance capacity that keeps the service-delivery asset usable. For an airline, aircraft-on-ground (AOG) time is a direct function of spare-parts and engine-overhaul inventory.

THE CAUSAL CHAIN — EACH LINK TAGGED



The first link (spare-parts shortage as root cause) rests on independent financial-press reporting, not a SpiceJet investor disclosure — hence tagged INFERENCE, not FACT.

SPICEJET PRACTICE

SpiceJet has run a phased engine-overhaul and reactivation programme (e.g. 17 engines dispatched for overhaul; damp-lease A320s inducted 2026 to supplement capacity while owned aircraft are repaired).

EVIDENCE

Free Press Journal (Apr 2026): grounding due to “lack of funds for spare parts and regular overhauls.” NewsBytes (Jul 2026): “maintenance has stalled due to spare part shortages.” SpiceJet's own Q2 FY26 results cite ₹12 cr in grounded-fleet carrying costs.

GAP

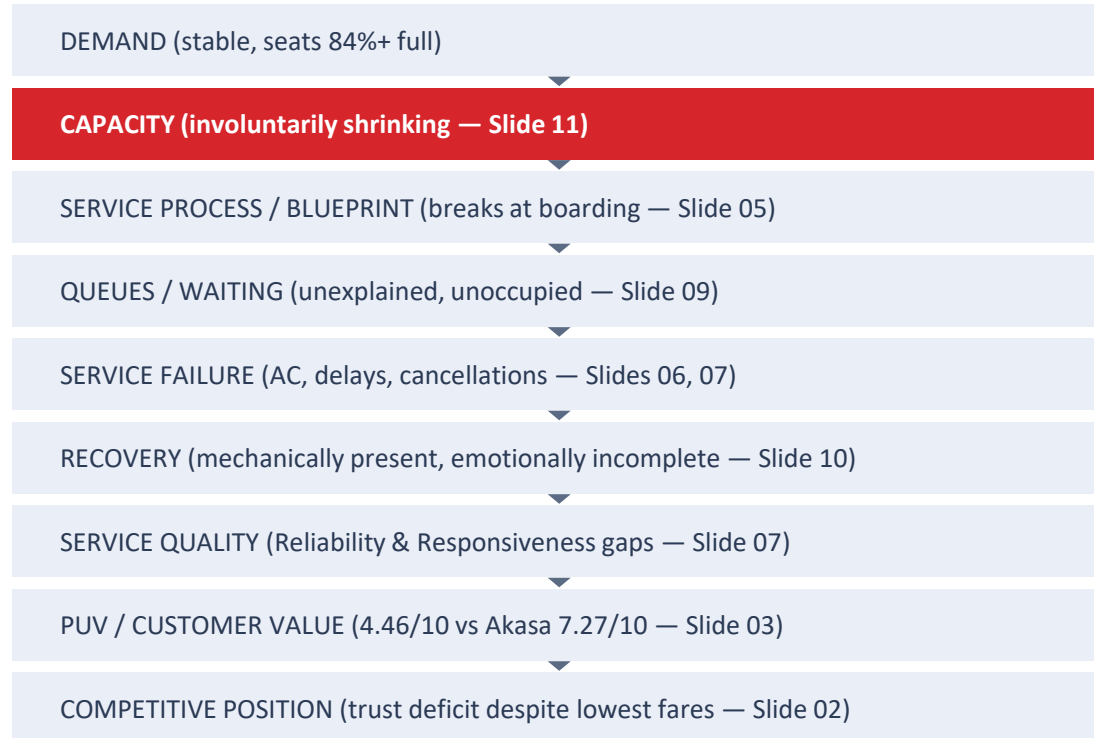
SpiceJet has not, in the sources reviewed here, officially confirmed “spare-parts inventory shortage” as root cause in an investor filing — the causal claim rests on independent press reporting, not company disclosure. Per the brief, this is labelled an evidence-based inference, not a verified fact.

RECOMMENDATION

Disclose AOG (aircraft-on-ground) spare-parts turnaround time as a tracked performance metric in investor calls — this would let the diagnosis in Slides 07 and 11 be verified against company data rather than inferred from press reports alone.

DIAGNOSIS: Do not present the inventory-shortage root cause as company-confirmed fact — it is a well-sourced but unconfirmed inference. Treat it accordingly in any recommendation.

Final Integration: How the Gaps Connect



PRIORITISED RECOMMENDATIONS

1

Fix the root cause first

Resolve spare-parts / engine-overhaul funding (Slide 12). Almost every downstream gap — on-time performance, servicescape, blueprint failures — traces back to grounded capacity.

2

Institutionalise the human layer

LEARN-model + Irregular Operations (IRROPS) communication protocol at the frontline (Slides 09–10), backed by workforce stabilisation (Slide 13) — mechanisms alone won't hold without it.

3

Protect what's still winning

Fare affordability and network reach are genuine order-winners (Slide 04). Don't dilute them while fixing reliability — the low-cost proposition is the asset to preserve, not trade away.

CORE OBJECTIVE: Maintain the low-cost value proposition while rebuilding operational reliability and customer experience — not one at the expense of the other.

Thank You